A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Ana for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P184,885,010.09	P154,402,490.25	P 30,482,519.84
Total Liabilities	54,654,430.10	53,377,844.29	1,276,585.81
Total Government Equity	130,230,579.99	101,024,645.96	29,205,934.03
Results of Operation			
Total Income	125,156,782.55	101,897,745.42	23,259,037.13
Total Expenses	90,628,716.46	83,735,346.53	6,893,369.93
Appropriations, Allotments and Obligations			
Appropriations - Current	122,191,828.65	102,797,023.70	19,394,804.90
Appropriations - Continuing	3,612,143.03	11,366,079.03	(7,753,936.00)
Allotments – Current	122,122,652.18	102,797,023.70	19,325,628.40
Allotments - Continuing	3,612,143.03	11,366,079.03	(7,753,936.00)
Obligations – Current	97,231,864.84	93,372,677.58	3,859,187.26
Obligations – Continuing	2,300,664.80	9,339,992.41	(7,039,327.61)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2014 were P184,885,010.09, P54,654,430.10 and P130,230,579.99 with an increase of 20%, 2% and 29%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P125,156,782.55 and P90,628,716.46 which increased by 23% and 8%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to and from Other NGAs and LGUs are as follows:

	2014	2013	Increase (Decrease)
Funds Received from Other Agencies			
Due from GOCCs	P 68,520.00	P 11,520.00	P 57,000.00
Due from LGUs	16,000.00	16,000.00	0.00
TOTAL	**P 84,520.00**	**P 27,520.00**	**P 57,000.00**
Funds Transferred to Other Agencies:			
Due to Other NGAs	P 7,498,774.91	P 2,968,420.73	P 4,530,354.18

Due to Other GOCCs	7,529.83	7,529.83	0.00
Due to LGUs	1,015,573.43	609,002.26	406,571.17
TOTAL	**P 8,521,878.17**	**P 3,584,952.82**	**P 4,936,925.35**

Funds received by the Municipality from Other Agencies amounted to P84,520.00 with an increase of P57,000.00 from last year's figures. On the other hand, funds transferred to Other Agencies amounted to P8,521,878.17 with an increase of P4,936,925.35.

A. Operational Highlights

For the year 2014, the Municipality of Sta. Ana appropriated the total amount of P122,191,828.65 of which P97,231,864.84 has been obligated as of year-end. Continuing appropriations for the year amounted to P3,612,143.03 which had a remaining balance of P1,311,478.23 as of year-end (see Annex 2).

The significant accomplishments of the Municipality during the year 2014 were as follows:

NAME OF PROJECT	SOURCE OF FUND	PROJECT COST	STATUS OF IMPLEMENTATION
1. Electrification along National Road (Phase III)	20% Development Fund	500,000.00	100% Completed
2. Rehabilitation of Main Health Center Building	20% Development Fund	500,000.00	100% Completed
3. Construction of Casambalangan Drainage System (Phase II)	20% Development Fund	1,000,000.00	100% Completed
4. Construction of Sanitary Landfill	20% Development Fund	1,330,188.75	100% Completed
5. Construction of Visitacion (North) Farm to Market Road	Dept. of Agriculture-BUB	2,413,269.28	100% Completed
6. Construction of Parada-Batu Farm to Market Road	Dept. of Agriculture-BUB	2,414,454.25	100% Completed
7. Construction of 12 units Public Market Vegetable Stalls	20% Development Fund	995,985.00	100% Completed
8. Construction of Communal Irrigation System	Dept. of Agriculture-BUB	964,547.24	100% Completed

B. Scope of the Audit

A financial and compliance audit was conducted on the operations of the municipal government of Sta. Ana, Cagayan for the year ended December 31, 2014. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such

other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Sta. Ana due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P90,947,254.28 as of year-end.

D. Significant Findings and Recommendations

Financial and Compliance Audit

1. **Collections totalling to P149,593.76 was not deposited at the end of the year in violation of COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that all collections of the municipality should be deposited intact regularly with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of loss, misapplication or misappropriation.

2. **The Municipal Accountant did not submit Bank Reconciliation Statements for CY 2014 which is contrary to the provisions of Section 74 of Presidential Decree No. 1445 and Section 3.2 of COA Circular No. 96-011.**

   We recommended that the Municipal Accountant should regularly prepare and submit the monthly Bank Reconciliation Statements in compliance with P.D. No. 1445 and COA Circular No. 96-011. In doing so, appropriate adjustments shall be made to reconcile the bank and ledger balances and so with the cashbook balance of the Municipal Treasurer.

3. **Cash advances totaling P1,613,619.76 had remained unliquidated at year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.**

We recommended that management strictly enforce the rules and regulations on the granting, utilization and liquidation of cash advances. The Accountant should not allow the grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made. Earnest effort should be effected to cause the liquidation of prior year's unliquidated cash advances of officials and employees no longer employed in the municipality.

4. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P90,947,254.28 as of December 31,2014 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

We recommended that the Local Chief Executive create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992. The report on unserviceable properties disposed should likewise be submitted to the accounting office for adjustment in the books of accounts.

5. **The municipality paid wages amounting to P8,960,852.47 in hiring an average of One Hundred Twenty Four (124) contractual, casual and job order personnel without clear and written Program/Policy Guidelines in hiring or engaging the services of contractual/casual/job order employees, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

We recommended that management formulate a Program/Policy Guidelines for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication.

The policy guidelines to be formulated shall not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

6. **The Gender and Development (GAD) Plan and Budget includes programs and activities totaling to P3,800,000.00 which do not address specific gender issues for the protection and empowerment of women as required in PCW NEDA DBM Joint Memorandum Circular 2012-01.**

We recommended that management develop a GAD Plan that would include programs, activities and projects (PAPs) that would address gender issues particularly on women's empowerment, respect, protection and fulfilment of their rights at the socio-cultural, economic and political spheres. The essential elements in GAD Planning and Budgeting such as Capability Building on Gender and Development and Institutionalizing GAD Database/Sex-disaggregated Data prescribed in PCW, NEDA and DBM Joint Circular No. 2012-01 should be observed.

Moreover, the GAD Plan and Budget (GPBs) of the municipality must be submitted to the Department of Interior and Local Government (DILG) Regional Office for review and approval and for incorporation in the annual budgets to be enacted by the Sanguiniang as required under Section C.6(2) of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013.

7. **Procurement of goods and services totaling to P2,986,643.86 were undertaken through alternative method of procurement, instead of public bidding, in violation of 2009 Revised Implementing Rules and Regulations of Government Procurement Reform Act of 2003, thus, the price obtained may not be advantageous to the government..**

We recommended that all procurement of goods and services shall be through public bidding. Alternative methods shall be resorted only in highly exceptional cases. The alternative method of procurement for shopping or small value procurement shall be adopted only whenever justified by the conditions and within the threshold provided by the procurement law.

Value for Money Audit

8. **The amount of P7,480,487.22 appropriated for 20% development projects was not utilized resulting to the non-realization of the benefits that could have been derived thereat.**

We recommended that management direct all concerned officials to implement immediately the projects under the 20% development fund for the benefit of its constituents and other intended beneficiaries as projected and planned.

9. **The municipality failed to advertise in a newspaper of general circulation the procurement of goods and services amounting to P2,750,000.00, in violation of Section 21.2.1 (a) of the 2009 Revised Implementing Rules and Regulations of RA 9184, thus, resulted to inadequate dissemination of bid opportunities in the procurement process and may not obtain the price most advantageous to the government.**

We recommended that Bids and Awards Committee comply with the prescribed bidding procedures on the requirement of advertisement in a newspaper of general nationwide circulation the Invitation to Bid to ensure transparency in government procurements and increase competition among suppliers to obtain the price most advantageous to the government. Moreover, management should adhere strictly with the provisions of RA 9184 in their procurement process.

10. **Share of the municipality from Gross Income of Special Economic Zone amounting to P937,004.00 was utilized not in accordance with DBM-DOF Joint Circular No. 2 dated August 7, 2014, thus, deprived the optimum utilization of the fund intended for developmental projects and programs.**

We recommended to management that all proceeds representing share from economic zones should be appropriated solely for developmental projects. Also, management should explain why the utilization of fund for maintenance and operating expenses.

E. Status of Implementation of Prior Year's Audit Recommendations

Of the five (5) audit recommendations embodied in the 2014 Annual Audit Report, one (1) was partially implemented and four (4) were not implemented as shown in Part III of this report.